

Report on AER-I manuscript 2024-0441

“Disemployment Effects of Unemployment Insurance: A Meta-Analysis”

This paper reviews the empirical literature regarding the impact of unemployment insurance policy parameters (replacement rate and potential benefit duration) on the duration of unemployment. A meta-analysis of published estimates reveals large publication bias, where significant negative effect estimates are 11 times more likely to get published than insignificant estimates. After correcting for this bias, the estimated average elasticity becomes much smaller.

The paper explores sources of effect heterogeneity and reviews the apparent contradiction between macro and micro elasticities, which disappears after correcting for publication bias. The paper also relates the estimated effects to optimal policy choice, leveraging the variation in estimates to evaluate the effect of infra-marginal policy changes. When the authors combine this corrected estimate with formulas for the optimal unemployment rate from the optimal tax literature, they obtain a substantially more generous optimal replacement rate than previously derived.

This is a very well executed review and meta-analysis, applying well-justified methods to correct for publication bias, and discussing the relevant implications for theoretically derived optimal policy parameters. In doing so, the paper brings together insights from Andrews and Kasy (2017) and Kleven (2021) in a novel way, applying them to a rich empirical literature. The paper is also well written and clear. Lastly, this paper addresses a question of first-order importance for public policy, and suggests a revision of the standard reading of the literature.

For these reasons, I believe this paper constitutes a valuable contribution that should be published in AER Insights!

References

- Andrews, I. and Kasy, M. (2017). Identification of and correction for publication bias. *NBER working paper*, (23298).
- Kleven, H. J. (2021). Sufficient statistics revisited. *Annual Review of Economics*, 13(1):515–538.